

Intermodal Motor Carriers Conference, et al.

v.

Ocean Carrier Equipment Management Association, Inc., et al.

FMC Docket No. 20-14

**Respondents' Reply Memorandum of Law in Further Support of
Their Motion for Summary Judgment**

Public - Unrestricted

INTERMODAL MOTOR CARRIERS CONFERENCE,)
AMERICAN TRUCKING ASSOCIATIONS, INC.)

V.

Respondents.

**RESPONDENTS' REPLY MEMORANDUM OF LAW IN FURTHER
SUPPORT OF THEIR MOTION FOR SUMMARY JUDGMENT**

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**RESPONDENTS' REPLY MEMORANDUM OF LAW IN FURTHER
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Respondents Ocean Carrier Equipment Management Association, Inc. (“OCEMA”), Consolidated Chassis Management, LLC (“CCM”), CMA CGM S.A. (“CMA”), COSCO Shipping Lines Co. Ltd. (“COSCO”), Evergreen Line Joint Service Agreement, FMC No. 011982 (“Evergreen”), Hapag-Lloyd AG (“Hapag-Lloyd”), HMM Co. Ltd. (“HMM”), Maersk A/S (“Maersk”), MSC Mediterranean Shipping Company S.A. (“MSC”), Ocean Network Express Pte. Ltd. (“ONE”), Wan Hai Lines Ltd. (“Wan Hai”), Yang Ming Marine Transport Corp. (“Yang Ming”), and ZIM Integrated Shipping Services (“ZIM”) (collectively, “Respondents”) submit this memorandum of law in reply to Complainant’s Response to Respondents’ Motion for Summary Judgment (“IMCC Response”) and in further support of their Motion for Summary Judgment (“Motion”) in the above-captioned proceeding.

Introduction

IMCC’s Response demonstrates that its actual motivation in filing and maintaining this proceeding is not to redress an actual violation of the Act, but to benefit its own proprietary IEP enterprise, NACPC, which would stand to gain financially from the requested relief. Indeed, in its Complaint, IMCC admitted that “[t]he filing of this Complaint was authorized by the IMCC’s Board of Directors and its Executive Committee as fulfilling its mission to protect the economic, operational, and efficiency interests of its members.” Complaint, ¶ 6. From the inception of this proceeding, IMCC has insisted that the interoperable “grey” chassis pool is the only chassis provisioning model that is legal and permitted under the Act because it is more efficient than other alternative systems. Complaint, ¶¶ 39-42. In its Complaint, IMCC requests this Commission to order Respondents to, among other things, “[c]ease and desist from utilizing single-provider chassis pools that are not interoperable with pools operated by other IEPs at all ports and

intermodal terminals serving more than one Respondent under rules that do not permit effective chassis choice for motor carriers for merchant haulage container movements or other movements for which a motor carrier is billed for usage or per diems.” Request for Relief, ¶(e). NACPC would be the primary beneficiary of the Commission’s imposition of the interoperable “grey” chassis pool model as the universal mandatory system. Of course, IMCC insists, it is a mere coincidence that the imposition of that model as the only legally permissible chassis provisioning system would permit NACPC to gain business volume and market share and benefit financially through a legal decree when it cannot do so on its own merits in the free marketplace.

Respondents assert that the current chassis provisioning system, which includes interoperable pools as well as single-provider proprietary pools in different locations, is the natural and proper result of various participants in that market responding to different business conditions and financial circumstances while competing and acting in their individual business and financial interests in the free market. Faced with this reality, IMCC’s Response abandons the demand that the Commission impose a system of mandatory interoperable “grey” pools at all ports and inland terminals nationwide. IMCC now admits that it “does not seek injunctive relief mandating resurrection of the COCP (or other former pools) and there may be situations in which a non-interoperable pool that does not offer chassis choice may be just and reasonable.” IMCC Response, p. 18.

IMCC’s Response also concedes that, following extensive discovery, the record refutes many of the key allegations of its Complaint. IMCC has abandoned many of its initial accusations and now contends that:

1. Rather than “systematically denying consent to motor carriers’ chassis choice” (Complaint ¶¶ 3(b), 44, 74), Respondents merely “have adopted regulations and imposed practices that restrain chassis interoperability and choice for MH container movements.” IMCC Response, p. 8.

2. IEPs, not ocean carriers, contribute and withdraw chassis from pools. IMCC Response, pp. 16-17.
3. Ocean carriers did not act on contractual MH incentives by increasing their MH volumes but acted improperly merely “because their CH rates are inextricably linked to MH volume.” IMCC Response, p. 14.

Throughout this litigation, IMCC has demonized the fundamental tenets of free market capitalism, going so far as to literally decry ocean carriers for acting in their own economic interests. Worse, IMCC would enlist the FMC’s intervention despite the fact that the relief requested is outside the scope of the Commission’s jurisdiction and would improperly adjudicate the rights of the IEPs without their meaningful participation. Indeed, IMCC would have the Commission believe that it seeks to serve the interests of the shipping public in this litigation when the record contains no evidence that IMCC’s constituents would reduce the rates they charge to their customers for chassis usage.

Motor carriers admittedly operate as [REDACTED] by charging a substantial markup to MH customers for chassis usage while also running their own proprietary IEP enterprise, NACPC. Motor carriers and NACPC would stand to gain financially from the imposition of a universal FMC-mandated interoperable “grey” pool system by increasing their business volume and market shares.¹ Even the premise of the Complaint, which is echoed by Complainant’s Motion for Summary Decision (“MSD”), is that motor carriers are harmed, not the shipping public – in fact, the alleged harm to the shipping public requires a speculative inference in the Complainant’s own MSD – “motor carriers must pass at least some of these higher costs through to their shipper

¹ [REDACTED]

customers.”² Thus, the crux of IMCC’s case depends on an entirely unsupported inference, notwithstanding a record consisting of millions of pages of documents.

IMCC also argues that the IEPs are not necessary parties and that the Presiding Officer’s preliminary rulings on her initial review of IMCC’s complaint alone should continue in effect since “[n]othing has changed.” However, since that time, significant developments have occurred. Most importantly, the record now demonstrates that IEPs own essentially all of the chassis that are in question in this case; IEPs, not ocean carriers, control whether to contribute to interoperable chassis pools; the contracts to which IEPs are parties would have to be “conform[ed]” to a ruling in this case despite their absence in the litigation; and so much more.³ In its Complaint, MSD, and Response, IMCC complains about the undertakings of the IEPs rather than Respondents. Even more incredulously, IMCC attempts to pass off the provision of declarations by IEPs, which amount to approximately six double-spaced pages of content, as sufficient due process to allow the FMC to adjudicate their legal, business, and financial interests in their absence.⁴

The record shows that the current system of chassis provisioning is the product of reasonable business judgment and vigorous competition between ocean carriers and IEPs. The existing system, which is both complex and dynamic in nature, is no more restrictive than necessary to ensure an adequate supply of chassis throughout the United States. IMCC’s arguments and allegations are based purely on conjecture, not facts. Respondents’ Motion must be granted, and IMCC’s Motion must be denied.

²Complaint ¶¶ 80-82; IMCC MSD p. 14.

³See JSOF #193, IMCC MSD p. 4 (“IEPs inject chassis on behalf of their ocean carrier customers” into chassis pools); the JSOF describes, in detail, the variety of operational mechanisms used by ocean carriers to compete with one another; IMCC Response at 23.)

⁴It is also worth noting that IMCC did not rely on these IEP declarations in its MSD or Response, but does so now to avoid the obvious implications of a ruling to these non-parties.

1. IMCC Has Not Established That The Commission Has Subject Matter Jurisdiction

IMCC has failed to carry its fundamental burden to demonstrate that the Commission has subject matter jurisdiction over this proceeding. In an attempt to meet its burden, IMCC has engaged in a classic “bootstrapping” exercise by improperly conflating ocean carriers’ involvement in CH movements, over which the Commission exercises subject matter jurisdiction, with the MH segment of transit, a point at which ocean carriers do not have actual or constructive custody of the containerized cargo and FMC jurisdiction does not exist.

None of the cases cited by IMCC support its argument that the FMC has subject matter jurisdiction over the MH segment of a shipment not moving under a through bill of lading. In *Norfolk S. Ry. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14 (2004), the Supreme Court held that maritime jurisdiction extended to a cargo loss which occurred due to a derailment while the shipment was in the custody and control of a rail carrier that had been engaged by the ocean carrier to perform the inland/rail portion of the transit. The Court observed that the shipment was moving under a through bill of lading which covered the ocean transit and the inland leg of the transit, and found that the through bill of lading was a maritime contract and that the inland leg of the transit was accordingly subject to the U.S. Carriage of Goods by Sea Act, 46 U.S.C. 1300, *et seq.* rather than the Carmack Amendment (another federal statute which governs the interstate transportation of goods).

Similarly, *Mitsui OSK Lines Ltd. v. Global Link Logistics, Inc., et al.*, 2011 WL 7144008 involved through bills of lading which provided for ocean transit and inland transportation. Citing to the Supreme Court’s holding in *Kirby*, the Commission found that it had jurisdiction over the inland leg of shipments moving under through bills of lading that were the subject of that case. The decision also referred to the legislative history of the Shipping Act, noting: “it appears that Congress intended to extend the Commission’s jurisdiction to encompass both through rates and

through transportation.” Id. at 6

These cases do not support IMCC’s argument that the FMC has subject matter jurisdiction over the MH segment of a shipment’s movement because, unlike the shipments at issue in those cases, MH movements are not covered by through bills of lading.

As justification for its request to extend subject matter jurisdiction to the inland portion of an MH move, IMCC claims that “the shipping public needs chassis to move containers containing property.” (IMCC Response, p. 5) That proposition is not the basis of any holding, and was not even considered, in *Kirby* or *Mitsui*. Significantly, IMCC cites no legal authority holding that the Commission has determined that it has jurisdiction over the MH segment which precedes the receipt, or follows delivery, of a containerized shipment by an ocean carrier. Indeed, there is no such authority.

Further, accepting IMCC’s specious argument that subject matter jurisdiction exists because the shipping public needs chassis to move containers would mean that the Commission could extend subject matter jurisdiction over motor carriers, since the shipping public needs motor carriers to move ocean containers, as well as over railroads, since the shipping public needs railroads to move ocean containers containing property. The logical implications of IMCC’s argument demonstrate the absurdity of its position that subject matter jurisdiction exists over MH movements when the ocean carrier does not have custody or control over the container, and has no contractual obligation with respect to the containerized shipment during the MH segment of transit.

Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. §41102(c), Dkt. No. 21-09 (ALJ Apr. 22, 2022), which is also inapposite, was improperly cited by

IMCC as precedent in this proceeding.⁵ Further, in that case, there was only a cursory discussion of subject matter jurisdiction,⁶ which was assumed to exist because, as the Presiding Officer noted, “(t)he Commission has a long history of addressing demurrage and detention practices.” *Id.* at p. 2. Unlike the dispute in the Hapag-Lloyd enforcement proceeding, the issue that is now before this court does not involve detention charges for failure to return ocean containers, but rather various inland practices involving chassis operations that do not invoke FMC jurisdiction and are not subject to §41102(c): “Section 41102(c) does not cover chassis providers who do not otherwise fall within the definition of a regulated entity under the Shipping Act.” *Final Interpretive Rule on Demurrage and Detention Under the Shipping Act*, (FMC Dkt. 19-05) at footnote #185.

Subject matter jurisdiction applies to a through bill of lading during the times that a containerized shipment is in transit pursuant to the terms of that bill of lading. However, FMC jurisdiction does not apply during an MH segment, which occurs before the ocean carrier takes possession of a shipment or after delivery has been made – accordingly, the Commission does not have subject matter jurisdiction with respect to an MH segment of a transit under *Kirby* or any other legal precedent.

2. The Complaint Must Be Dismissed Because The Complainant Has Failed To Join Necessary and Indispensable Parties Without Whom Relief Cannot Be Granted

IMCC continues to argue that the terms of contracts between the ocean carrier Respondents and the IEPs are unreasonable and constitute violations of the Act on the part of the ocean carrier Respondents. Despite the centrality of such contracts to their arguments, IMCC incorrectly maintains that the IEPs are not necessary parties.

⁵The ALJ’s decision was inoperative while exceptions to the Commission were pending, and that proceeding has now been terminated by the Commission’s June 8, 2022 approval of a settlement agreement.

⁶There was a detailed discussion as to whether the Commission could exercise personal jurisdiction over Hapag-Lloyd (America) LLC, the general agent for Hapag-Lloyd A.G. That ruling, which resulted in the dismissal of Hapag-Lloyd (America) LLC is also not relevant to the subject matter jurisdiction issue that is before the Court.

In this regard, IMCC's reliance on the Commission's decision in *50 Mile Container Rules*, 1987 WL 209053, is misplaced, as that case is distinguishable from this proceeding in several significant respects. First, that case involved a collective bargaining agreement (i.e., a maritime labor agreement) over which the Commission had jurisdiction, as compared to a contract between an ocean common carrier and an unregulated vendor, over which it does not. As discussed above, IMCC has cited no authority to counter Respondents' arguments as to the lack of jurisdiction. Second, the labor union (the ILA) that entered into the collective bargaining agreement with the employers, had intervened in the *50 Mile* case, and was thus before the FMC. Here, the IEPs are not before the FMC.⁷ Third, the employees of the labor union that signed the collective bargaining agreement worked for marine terminal operators, which are regulated entities, creating further ties to FMC jurisdiction. There are no such ties with respect to the IEPs. Finally, the rules at issue in *50 Mile* contained a provision that contemplated renegotiation within a specific time period. The ocean carrier-IEP contracts contain no such provisions, and IMCC's attempt to equate a boilerplate severability clause with an express provision on renegotiation is untenable. The IMCC argues that the IEPs are not necessary parties to this proceeding since "many of the ocean carrier contracts at issue contain severability clauses, which allow illegal provisions to be struck and the remaining provisions to continue pending renegotiation." IMCC Response at 23. However, "unlawful" clauses may only be severed if (1) they are not "essential part[s] of the agreed exchange," (2) the parties seeking to enforce them did not engage in any "serious misconduct," and (3) the terms in question were obtained "in good faith and in accordance with reasonable standards of fair dealing." *Jacobsen v. Oliver*, 555 F.Supp.2d 72, 80

⁷The declarations provided to Respondents by the IEPs in lieu of discovery are a far cry from the IEPs intervening in this case and cannot be considered to protect the interests of the IEPs in this litigation. This is made clear by the fact that the IEPs also provided declarations to IMCC in lieu of discovery, which IMCC has not put before the Court in its Motion for Summary Decision.

(D.C. Cir. 2008), citing *Restatement (Second) of Contracts* § 184 (1981). Since the ocean carriers and IEPs reached agreement based on the consideration of all the terms and conditions of the chassis usage agreements in question, the FMC cannot void only one essential term without voiding the entire contract.

For the reasons set forth in the pleadings submitted by Respondents, the ALJ should find that the IEPs are necessary parties that have not been joined, and should grant summary judgment in favor of Respondents on that basis.

3. Complainant Has Failed to Establish that Respondents’ Alleged Conduct Violates Section 41102(c) of the Act

A. Respondents’ Actions Are Just And Reasonable In Light Of The End In View

Respondents’ actions are just and reasonable in light of the end in view – ensuring a supply of chassis sufficient to transport containers moving in international commerce. IMCC suggests that the end in view should be the provision of a sufficient supply of chassis, arguing that it is the responsibility of the motor carrier and/or shipper to supply chassis for MH moves. Leaving aside the obvious arguments over the precise meaning of “supply” in this context, IMCC’s argument is fatally flawed.

IMCC, with no supporting evidence whatsoever, suggests that if ocean carrier Respondents did not contract with IEPs to provide a sufficient number of chassis to handle all of their containers (both CH and MH) at various locations, those chassis would be provided by the motor carriers. This is wholly at odds with IMCC’s contention that it is uneconomical for motor carriers to furnish chassis through ownership or long-term lease. These two conflicting arguments cannot be reconciled. Moreover, what this “supply” argument makes clear is that when IMCC says motor carriers should “supply” chassis for MH movements, what it really means is that the Act should be interpreted to require ocean carriers to ensure there is an ample supply of chassis available for

motor carriers to use at economically favorable rates so that motor carriers can draw upon this fleet of chassis – which fleet exists and is positioned because of ocean carrier commitment to IEPs -- to “supply” their customers. The argument is absurd, and must be rejected.

B. IMCC Has Failed To Prove Causation

IMCC argues that the contracts between the ocean carrier Respondents and the IEPs constitute cross-subsidization of lower CH chassis usage rates by higher MH chassis usage rates. IMCC Response pp. 12-14. There is no dispute that the MH chassis usage rates are not set forth in the contracts between the ocean carrier Respondents and the IEPs. There is no dispute that the ocean carrier Respondents are not involved in setting the rate levels for MH chassis usage. IMCC offers no evidence whatsoever of any causal relationship between the CH usage rates and the MH usage rates. In contrast, Respondents offer extensive expert testimony as to the reason for any difference between these two rate levels. IMCC does not argue that the MH levels are unreasonable in and of themselves, just that they are supposedly higher than they would be in the absence of the contracts between the ocean carrier Respondents and the IEPs. However, as noted above, that argument is unsupported by any evidence in the record.

Accordingly, Respondents’ Motion should be granted.

C. The Relief IMCC Is Seeking Cannot And Should Not Be Granted

In its complaint, IMCC alleged up to \$1.8 billion in damages to motor carriers and requested a cease and desist order. It subsequently clarified that only a cease and desist order was being requested in this case. In its pleadings thus far, IMCC has been vague about the precise relief being sought. To a large extent, it appears that IMCC is seeking a *de facto* bifurcation of this proceeding in which a determination that the *status quo* is unlawful would be followed by further proceedings to determine an appropriate remedy (see, e.g., footnote #18 on p. 26 of IMCC MSD). The Presiding Officer should not adopt such a procedure.

Unlike a proceeding for monetary reparations in which the issues of liability and the amount of damages are unrelated and can be tried separately, here the issues of liability and remedy are closely intertwined. The determination of what current practices may violate the Act will determine to a large extent what remedies might be ordered.

Here, the relief that IMCC may or may not be seeking could include (i) revision or repeal of Sections 5.5 and 5.7 of the CCM Operations Manual; (ii) revision of ocean carrier-IEP contracts to eliminate the designation of IEPs as preferred or exclusive providers for MH movements; (iii) a prohibition on withdrawal from existing pools; and (iv) changes in the rules governing the operation of the Pool of Pools. As noted in Respondent's opposition to IMCC's MSD, the Commission lacks the authority to order the adoption of specific practices, particularly in the absence of the IEPs, which are indispensable parties.

In addition to the FMC's lack of authority to require adoption of specific practices, there are other problems with the bifurcated process proposed by IMCC. For example, there is no dispute that ocean common carriers do not contribute chassis to pools or withdraw from such pools. Thus, any prohibition on withdrawing from existing pools would be a prohibition on IEPs over which the FMC has no jurisdiction. Similarly, the Pool of Pools is governed by IEPs, and any requirement that its rules of operation be changed would run to the IEPs rather than ocean carriers. And, as previously noted, revisions to contracts between ocean carrier Respondents and the IEPs require the IEPs to be parties to this proceeding.

In light of the foregoing, Respondents' Motion should be granted.

4. **Declaration Submitted by Respondents' Expert Is Appropriate**

IMCC mischaracterizes the Declaration of Douglass Coates, submitted in support of Respondents' Motion (APP2202-20), as a "third" expert report. This Declaration was submitted out of an abundance of caution, because Mr. Coates' Initial Report and Rebuttal Report could

have been considered hearsay. *Ake v. Gen. Motors Corp.*, 942 F. Supp. 869, 877–78 (W.D.N.Y. 1996) Rather than constitute a “third” report, it is a recitation under oath of the statements and opinions articulated by Mr. Coates in his Initial and Rebuttal Reports. Notably, IMCC only objects to paragraph 14 because it “for the first time, evaluat(ed) motives and effects of MH incentive provisions in IEP contracts”. First, assuming the objection to paragraph 14 had a sound basis, it would not justify striking the entire Declaration. Second, the statements in paragraph 14 were indeed included in Mr. Coates’ prior reports, specifically at pp. 3-4 of the Coates Rebuttal Report (CX00001688 at 1692-3): so IMCC’s assertions are factually without merit.

Further, if new statements and opinions were advanced at this stage of the proceeding, the grounds cited by IMCC for barring them are without merit.⁸ Respondents have the right, and the obligation, under F.R.C.P. 26(e)(1) and (2) to “supplement...its disclosure” “if the additional ...information has not otherwise been made known to the other parties during the discovery process or in writing...” *See, also, Am. Med. Sys. v. Laser Peripherals, LLC*, 712 F. Supp. 2d 885 (D. Minn. 2010), in which the plaintiff was permitted to submit a declaration by an expert, who was not disclosed in accordance with the pretrial schedule, because the declaration was intended to rebut the opinions of the defendant’s expert [at 924].

The case relied upon by IMCC, *Yeti by Molly, Ltd. v. Deckers Outdoor Corp.*, 259 F. 3d 1101 (9th Cir. 2001) is inapplicable to the circumstances of this case, because it involved an

⁸We expect a similar argument will be advanced by IMCC with respect to the Declaration of Dr. James Reitzes (APP2226-48), submitted in support of Respondents’ Opposition to IMCC’s MSD, which comments on the numerous defects in the [REDACTED] prepared by IMCC’s economist, Dr. James Langenfeld. During his deposition, Dr. Reitzes discussed these defects [REDACTED] (Reitzes Dep., pp.107-08; APP2297-98). Dr. Reitzes also explained that his testimony related to and expanded upon his comments at paragraph 16 of his Rebuttal Report. (CX00001625 at 1632) Reitzes Dep., pp.109-10; APP2299-2300. These defects were further highlighted at the deposition of IMCC’s economist, Dr. Langenfeld, taken on April 1, 2022. The same rationale discussed above with respect to Mr. Coates’ Declaration should also be applied to Dr. Reitzes Declaration.

expert report issued, for the first time, some two years after the close of discovery, one year after the plaintiff's expert issued his last supplemental report and just 28 days before trial. Given the significant periods of time which elapsed between the closing of discovery and issuance of the report, and the close proximity of trial, the court properly barred the expert's testimony. Such circumstances do not exist here.

Further, with respect to the Coates Declaration (and the Declaration of Dr. Reitzes, described in footnote no. 8), IMCC is not prejudiced because it has an opportunity to respond with responsive declarations from their respective experts.

Finally, Respondents' right to submit Declarations from their experts which contain supplemental statements and opinions is supported by Rule 502.202, captioned "Right of parties to present evidence." This Rule states: "Every party has the right to present its case or defense by oral or documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of the facts." Given this Rule, the provisions of Rule 26 (e)(1) and (2) and the case law interpreting Rule 26, no portion of the Declarations of Mr. Coates, or Dr. Reitzes, should be barred.

5. **Summary Judgment As to Evergreen Must Be Granted**

IMCC misrepresents Evergreen's business model in its response to Evergreen's supplemental motion for summary judgment.⁹

IMCC states that Evergreen "imposes an \$80 chassis usage charge ("CUC") on shippers..." (emphasis supplied). This assertion misrepresents the evidence. Evergreen's customers have the option, before the freight rate is negotiated, to determine whether or not Evergreen will provide the chassis. If the shipper elects to have Evergreen provide the chassis, it pays an \$80 chassis

⁹MSC employs the same business model as Evergreen, so the arguments described herein also apply to MSC.

usage charge and Evergreen arranges for the provision of the chassis. In that case there is no charge paid by the motor carrier or its customer for the use of the chassis. (see, Memorandum of Law in Support of Evergreen’s Supplemental Motion for Summary Judgment, p. 6) If a shipper elects to have the consignee provide the chassis, no chassis usage charge is included in the freight rate and the consignee and/or its motor carrier are free to choose its chassis provider. (Memorandum of Law in Support of Evergreen’s Supplemental Motion for Summary Judgment, p. 7-8) Even the IMCC agrees there is no “choice issue” with respect to Evergreen:

■ [REDACTED]

■ [REDACTED]

■ [REDACTED]

■ [REDACTED]¹⁰

IMCC disingenuously asserts that, if a chassis is retained by a motor carrier after the expiration of free time, Evergreen “imposes” per diem fees of \$20 per day. However, the FMC has found that demurrage and per diem (the latter is also referred to as “detention”), “are valuable charges when applied in ways that incentivize cargo interests to move cargo promptly...” (*Final Interpretive Rule on Demurrage and Detention Under the Shipping Act*, (FMC Dkt. 19-05) at p. 29640) Further, the calculation discussed at p. 7 of the Memorandum of Law in Support of Evergreen’s Supplemental Motion for Summary Judgment demonstrates that a motor carrier would have to keep a chassis for 30 days before the per diem assessed by Evergreen would exceed the daily chassis usage charge assessed by NACPC.

¹⁰Chris Giltz is the Senior Vice President of Operations for Evans, a motor carrier which is a member of IMCC.

IMCC asserts that the chassis usage charge and per diem that a shipper pays, if the shipper elects to have Evergreen provide the chassis, are higher “than the daily rental charges that Evergreen pays to its IEPs”, referencing paragraph 95 of IMCC’s SUMF. However, paragraph 95 of IMCC’s SUMF makes no assertion with respect to the amount paid by Evergreen to its IEP and states: “The only charge that Evergreen will potentially invoice to a motor carrier is for *per diem*, which is a charge that is assessed if the chassis is not returned by the motor carrier within the free time period described above.”¹¹

Finally, the IMCC assertion of a “differential” between CH and MH rates, wherein the former are “subsidized” by the latter, completely fails as to Evergreen, because Evergreen pays the same usage rate to its IEP regardless of whether it provides CH or MH service to its customer. (see, Memorandum of Law in Support of Evergreen’s Supplemental Motion for Summary Judgment, p. 7 and footnote 2).

No tenable reason has been advanced by IMCC to deny Evergreen’s supplemental motion. The Complaint against it should accordingly be dismissed.

Conclusion

For the foregoing reasons, summary judgment should be granted in favor of the Respondents and the Complaint accordingly dismissed.

Respectfully submitted,

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¹¹Evergreen/Respondents disputed this SUMF, but the grounds are not relevant here.

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